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FINAL TERM EXAMINATION

Spring 2010

ECO403- Macroeconomics (Session - 2)

Ref No: 1378123

Time: 90 min

Marks: 66

Student Info	
StudentID:	BC080201192
Center:	OPKST
ExamDate:	16 Aug 2010

For Teacher's Use Only									
Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
Marks									



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Q No.	17	18	19	20	21	22	23	24	
Marks									
Q No.	25	26	27	28	29	30	31	32	
Marks									
Q No.	33	34	35	36	37	38	39	40	
Marks									
Q No.	41	42	43	44	45	46	47	48	
Marks									



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Question No: 1 (Marks: 1) - Please choose one

_____ **The determinants of demand curve include:**

- ▶ Income, tastes, and the price of the good.
- ▶ Income and tastes.
- ▶ Tastes and the price of other goods.
- ▶ Income, tastes, preferences and the price of other goods.

Question No: 2 (Marks: 1) - Please choose one

_____ **Which of the following plays the most important role in increasing the rate of growth in real GDP per capita over time?**

- ▶ Increases in labor productivity
- ▶ Increases in the money supply
- ▶ Decreases in the level of inflation
- ▶ Increases in the real rate of interest

Question No: 3 (Marks: 1) - Please choose one

_____ **The GDP deflator was 100 in the year 2000 and was 105 in year 2002. From this information, we can conclude that:**



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- ▶The price level increased by 5 percent from 2000 to 2002.
- ▶The price level increased by 205 percent from 2000 to 2002.
- ▶The price level increased by 105 percent from 2000 to 2002.
- ▶We cannot judge price increases from changes in the GDP deflator.

Question No: 4 (Marks: 1) - Please choose one

Which of the following would NOT be counted as a government purchase of a good or a service?

- ▶The purchase of a new stealth bomber.
- ▶Your grandmother's receipt of her monthly Social Security benefit.
- ▶The construction of a new dam by the U.S. Army Corps of Engineers.
- ▶The hiring of a new police officer by New York City.

Question No: 5 (Marks: 1) - Please choose one

Which of the following is NOT a cause of an increase in productivity?

- ▶Increases in labor supply.
- ▶Increases in human capital.
- ▶Increases in quality of capital.
- ▶Improvements in technology.



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Question No: 6 (Marks: 1) - Please choose one

Which of the following shows the slope of the consumption function?

- ▶ The marginal propensity to consume.
- ▶ The marginal propensity to save.
- ▶ The autonomous consumption spending.
- ▶ Marginal rate of substitution.

Question No: 7 (Marks: 1) - Please choose one

Which of the following does the government NOT control directly?

- ▶ Spending on health
- ▶ Spending on defence
- ▶ Firms' investment decisions
- ▶ Spending on education

Question No: 8 (Marks: 1) - Please choose one

Television sets are examples of:

- ▶ Durable goods.



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- ▶Services.
- ▶Non-durable goods.
- ▶Transfer products.

Question No: 9 (Marks: 1) - Please choose one

_____ Increased
unemployment benefits and less incentive to work would:

- ▶Shift aggregate supply to the right.
- ▶Shift aggregate supply to the left.
- ▶Shift aggregate demand to the right.
- ▶Shift aggregate demand to the left.

Question No: 10 (Marks: 1) - Please choose one

_____ Barter economies
require:

- ▶The use of fiat money.
- ▶The use of commodity money.
- ▶A double coincidence of wants.
- ▶Money to serve as a store of value but not as a medium of exchange.

Question No: 11 (Marks: 1) - Please choose one



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According to the law of one price:

- ▶ The price of gold should differ between nations.
- ▶ Interest rates across nations should be the same when adjusted for exchange rates.
- ▶ Goods that are easily tradable across nations should sell for the same price expressed in a common currency.
- ▶ A company can only charge one price for a product, no matter which nation the product is sold in.

Question No: 12 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ A decrease in unemployment.
- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 13 (Marks: 1) - Please choose one

Macro-economic disequilibrium exists when:

- ▶ Aggregate exports are equal to aggregate imports.
- ▶ Aggregate supply is not equal to aggregate demand.
- ▶ Aggregate imports are not equal to tax revenue.



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► Aggregate saving is not equal to aggregate exports.

Question No: 14 (Marks: 1) - Please choose one

Dissaving occurs if:

- Saving is negative.
- National income is negative.
- Personal income is negative.
- The Marginal Propensity to Consume is negative.

Question No: 15 (Marks: 1) - Please choose one

The IS curve will shift

to the right if:

- Consumer confidence in the economy improves.
- Firms become more optimistic about the economy and decide to invest more at each interest rate.
- The government increases transfer payments.
- All of the given options.

Question No: 16 (Marks: 1) - Please choose one

In the short run

equilibrium, if output is above the full employment level, then price level will:

- Rise.
- Fall.



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►Remain constant.

►First rise then fall.

Question No: 17 (Marks: 1) - Please choose one

Aggregate demand is inversely related to the price level because an increase in the price level:

- Lowers the interest rate which results in a higher level of aggregate spending.
- Has a negative effect upon wealth which results in increased aggregate spending.
- Dampens exports and increases imports which results in a lower level of aggregate spending.
- Causes government spending to decline which results in a lower level of aggregate spending.

Question No: 18 (Marks: 1) - Please choose one

Exogenous changes in the demand for goods and services are known as:

- IS Shock.
- LM Shock.
- Demand Shock.
- Supply Shock.

Question No: 19 (Marks: 1) - Please choose one



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Floating debt is a type

of:

- ▶ Long term loans.
- ▶ Short term loans.
- ▶ Domestic loans.
- ▶ Foreign loans.

Question No: 20 (Marks: 1) - Please choose one

The central bank tries

to prevent the depreciation by reducing the money supply. This causes:

- ▶ LM* curve to shift to the right.
- ▶ LM* curve to shift to the left.
- ▶ IS* curve to shift to the right.
- ▶ IS* curve to shift to the left.

Question No: 21 (Marks: 1) - Please choose one

When consumers

respond to the increased risk by holding more money then this causes:

- ▶ LM* curve to shift to the right.
- ▶ LM* curve to shift to the left.



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►AD curve to shift to the right.

►IS* curve to shift to the left.

Question No: 22 (Marks: 1) - Please choose one

_____ **Consumer preferences**
regarding consumption in the two periods can be represented by:

►Indifference curves.

►Intertemporal budget constraint.

►Consumption function.

►LM Curve.

Question No: 23 (Marks: 1) - Please choose one

_____ **According to the Fisher**
model, the optimal level of consumption for a consumer occurs when the marginal rate of substitution:

►Equals one.

►Equals zero.

►Equals the slope of the budget line.

►Is maximized.

Question No: 24 (Marks: 1) - Please choose one



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_____ $C = \alpha Y^p$ is the
consumption equation of:

- ▶ Keynesian consumption theory.
- ▶ Franco Modigliani's consumption theory.
- ▶ Simon Kuznet's consumption theory.
- ▶ Milton Friedman's consumption theory.

Question No: 25 (Marks: 1) - Please choose one

_____ A rise in the general
level of interest rates is most likely to cause a fall in:

- ▶ The exchange rate.
- ▶ The rate of unemployment.
- ▶ The saving ratio.
- ▶ The level of planned capital investment.

Question No: 26 (Marks: 1) - Please choose one

_____ Steady state is the
condition where:

- ▶ Capital stock is positive.
- ▶ Capital stock is negative.

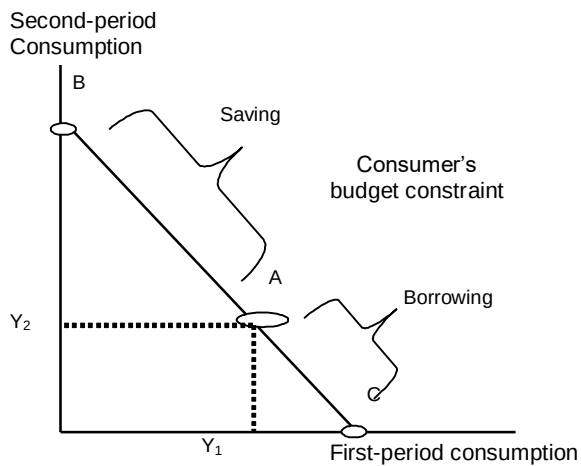


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►Capital stock is zero.

►None of the given options.

Question No: 27 (Marks: 1) - Please choose one



In the above figure, the vertical intercept is equal to:

► $(1+r)Y_1 + Y_2$.

► $Y_1 - Y_2 / (1+r)$.

► $(1+r) / (Y_1 + Y_2)$.

► $(Y_1 + Y_2) / (1+r)$.

Question No: 28 (Marks: 1) - Please choose one

currency + demand deposits

►Money supply.



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- ▶ Money demand.
- ▶ Transactions demand for money.
- ▶ High powered money.

Question No: 29 (Marks: 1) - Please choose one

_____ is defined as the number of rupees held by the public.

- ▶ Quantity of money.
- ▶ Velocity of money.
- ▶ Supply of money.
- ▶ Demand for money.

Question No: 30 (Marks: 1) - Please choose one

_____ Demand for money is positively related with:

- ▶ Interest rate.
- ▶ Income.
- ▶ Supply of money.
- ▶ None of the given options.

Question No: 31 (Marks: 1) - Please choose one



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Which of the following is known as the broader measure of money?

- ▶C.
- ▶M1.
- ▶M2.
- ▶M3.

Question No: 32 (Marks: 1) - Please choose one

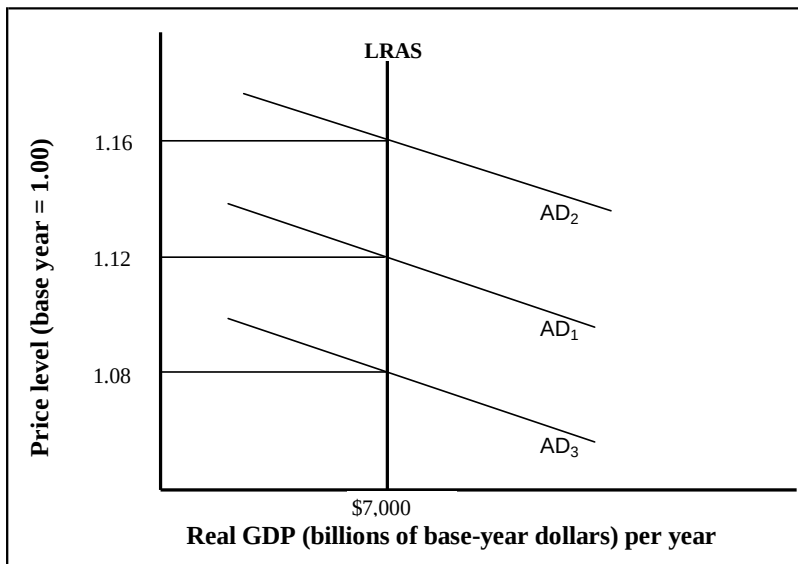
A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is the:

- ▶Aggregate demand curve.
- ▶Average price level.
- ▶Circular flow model.
- ▶GDP curve.

Question No: 33 (Marks: 1) - Please choose one



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Refer to the above figure, the full employment level of output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ Described correctly in all of the given options.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will not cause a change in aggregate demand?

- ▶ An increase in consumer wealth
- ▶ An increase in the amount of investment demanded by firms at each price level



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- ▶An increase in an economy's price level
- ▶An increase in the price level of a foreign economy

Question No: 35 (Marks: 1) - Please choose one

_____ The use of central bank policies to influence the level of _____ economic activity is called:

- ▶Banking and finance policy.
- ▶Financial market policy.
- ▶Monetary policy.
- ▶Trade policy.

Question No: 36 (Marks: 1) - Please choose one

_____ According to Mundell–Fleming model, in a system of fixed exchange rates, an import restriction on foreign goods would cause net exports and the level of income to:

- ▶Rise.
- ▶Rise in the same proportion as inflation.
- ▶Remain constant.
- ▶Fall.

Question No: 37 (Marks: 1) - Please choose one



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The positive relationship between the amount of output and the price level shows that the aggregate supply curve is:

- ▶ Horizontal.
- ▶ Upward-sloping.
- ▶ Vertical.
- ▶ Downward-sloping.

Question No: 38 (Marks: 1) - Please choose one

Due to an increase in expected inflation, the Phillips curve:

- ▶ Shifts upward.
- ▶ Shifts downward.
- ▶ Becomes steeper.
- ▶ Becomes flatter.

Question No: 39 (Marks: 1) - Please choose one

Suppose a consumer works for 40 years and then spends 20 years in retirement. According to life-cycle hypothesis, during her working years, this consumer would:

- ▶ Spend all of her income and borrow for extra spending.
- ▶ Save all of her income.
- ▶ Save some fraction of her income.



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- ▶Spend all of her income.

Question No: 40 (Marks: 1) - Please choose one

Tobin's q is defined as the ratio of the:

- ▶Market value of installed capital to the replacement cost of installed capital.
- ▶Profits of capital to the rental rate of capital.
- ▶Rental rate of capital to the replacement cost of capital.
- ▶Profits of capital to the marginal product of capital.

Question No: 41 (Marks: 1) - Please choose one

If the currency-deposit ratio is 10 % and the total amount of deposits is Rs.100 billion, then the money supply is equal to:

- ▶Rs. 90 billion.
- ▶Rs. 110 billion.
- ▶Rs. 1,000 billion.
- ▶Rs.10 billion.

Question No: 42 (Marks: 1) - Please choose one

Which of the following variable is NOT emphasized to explain the demand for money using a portfolio theory?

- ▶The cost of going to the bank.
- ▶Wealth.



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►Returns on other assets.

►Expected inflation.

Question No: 43 (Marks: 3)

Assume that the economy is at full employment level. The government decides to cut taxes to give the economy an extra boost. Describe the short run and long run impact of this tax cut in the IS-LM framework.

(Describe theoretically, diagram is NOT required)

Question No: 44 (Marks: 3)

In the permanent income model, how do borrowing constraints alter the effect of a temporary increase in taxes?

Question No: 45 (Marks: 3)

"Tobin's q and neoclassical model of investment are closely related". How?

Question No: 46 (Marks: 5)

The Cobb Douglas production function is as given:

$$Y = AK^{\alpha} L^{1-\alpha}$$



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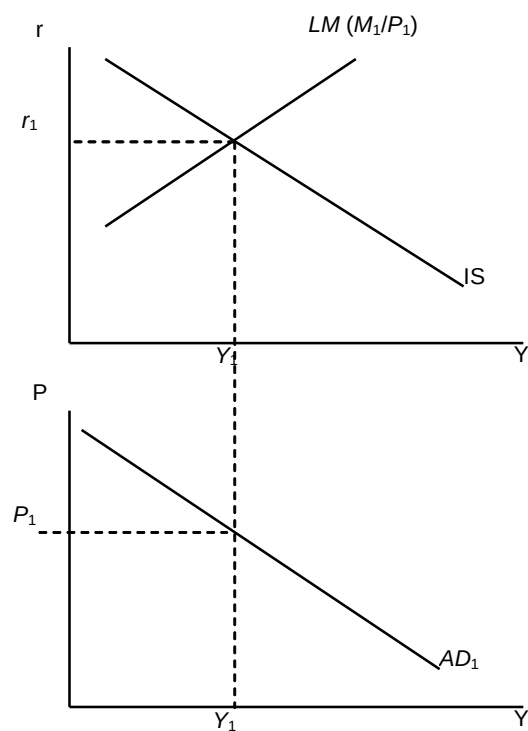
Differentiate this function with respect to K and find out marginal product of capital MPK . Write down all the possible steps involved.

Question No: 47 (Marks: 5)

Differentiate between long run and short run consumption function with the help of graph.

(Marks: 2.5+2.5)

Question No: 48 (Marks: 5)





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Refer to the above figure, what will be the impact of an increase in money supply on LM curve, AD curve, output level and interest rate?